philanthropy by the corporate houses. Basically, the CSR acknowledges the *debt* that the corporates owe to the community within which they operate. It defines the corporates' partnership with social action groups (i.e., the NGOs) in providing financial and other resources to support development plans, especially among disadvantaged communities. There is stress on long-term sustainability of business and environment and the distribution of well-being.

DEBENTURE

An instrument of raising long-term loan by companies, having a maturity period bearing an interest (*coupon rate*). Theoretically they may be secured or unsecured by assets such as land and buildings of the issuing company (known as *collateral*).

Debenture holders are provided with a prior claim on the earnings (by interest) and assets of the company in the situation of liquidation of the company over the *preference* and *equity shareholders* of the company.

DEBT RECOVERY TRIBUNAL (DRT)

Banks and financial institutions have often faced a tough time in recovering loans, on which the borrowers have defaulted. To expedite the recovery process, the Committee on the Financial System, headed by *Mr. Narasimham* considered the setting up of special tribunals, with special adjudicator powers. This was felt to be necessary to carry through financial sector reforms. Since there is an immense overload on the Indian legal system at present, recovery of many unpaid debts, due to banks or financial institutions, are held up, indefinitely. This affects the balance sheets of the banks as the amounts involved are very large.

It was thought that an independent forum was needed to deal with debts of these types. Thus, in *1993* the *Recovery of Debts Due to Banks and Financial Institutions Act'* was passed. The Act, however, imposes a limitation and states that only those debts which are in excess of Rs. 10